

Multiple Choice (10 marks)

1. Explain the two arguments that have always been advanced for a special policy towards farmers.
 - (a) Climate change adaptation and biotechnology
 - (b) International trade and subsidies competition
 - (c) Agricultural sustainability and urbanization pressures
 - (d) Land reform and rural infrastructure development
 - (e) Technological innovation and market expansion
2. There is a strong demand for welders in California but Bill an unemployed welder lives in New York. Bill is
 - (a) frictionally unemployed.
 - (b) voluntarily unemployed.
 - (c) considered to be a hidden worker.
 - (d) underemployed.
 - (e) structurally unemployed.
3. If nominal GDP equals \$6000 and the GDP deflator equals 200 then real GDP equals
 - (a) \$4,000
 - (b) \$6,000
 - (c) \$12,000
 - (d) \$2,000
 - (e) \$1,200
4. What does the Harrod-Domar model, taken with the Keynesian theory of savings, imply for the growth rates of poor countries?
 - (a) Rich and poor countries will experience the same growth rates regardless of savings rates
 - (b) Poor countries will have fluctuating growth rates independent of savings
 - (c) The level of technology determines growth rates, not savings
 - (d) The level of income has no impact on savings
 - (e) Savings have no correlation with growth rates in any country
5. Which of the following will increase wages for tuba makers?

- (a) A decrease in the cost of tuba-making materials
- (b) An increase in the number of graduates at tuba maker training school
- (c) An increase in the tax on tubas
- (d) An increase in the number of tuba maker training schools
- (e) An increase in the price of tubas

True / False (10 marks)

Answer True or False

- 6. True or False: Pure capitalism effectively allocates resources for all types of goods, including those requiring significant government regulation.
- 7. True or False: A professional football player's signing bonus is an example of transfer earnings, as it does not reflect opportunity cost.
- 8. True or False: Firms with a kinked demand curve always respond aggressively to their rivals' price changes.
- 9. True or False: Per capita figures measure growth more accurately and reflect changes in individual welfare within an economy.
- 10. True or False: The trade deficit account reflects the balance of payments related solely to goods and services transactions, excluding financial assets.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the nominal and real interest rates in the context of Mr. Riley's loan to Mr. Gillis, considering the impact of inflation indicated by the consumer price index increase.
- 12. Discuss the implications for transfer earnings and economic rent in a scenario where land is utilized solely for a single purpose. What does this mean for the land's value?

End of Paper